



EQUITY **BANK** GROUP

2011 Financial Results

Investors Briefing



Economic environment

- Globally, the economic environment in large economies remains fragile
 - S&P downgrades US, Italy, Greece, France, Portugal, Spain etc
 - Euro-zone crisis;
 - European banks running out of cash and capital
 - Severe budget cuts and other austerity measures
 - Social welfare programs at risk, social tensions and unrests
 - Push to fiscal union and consolidations
 - Greece's continued membership in EU in question
 - China – Growth slowed down due to harsh inflation spell
 - Political unrest in MENA region - Arab spring continues



...environment economic

- In Kenya, similarly challenging microeconomic environment due to:
 - Persistent high inflation which peaked at 19.72% in November 2011, now trending downwards
 - Inflation drivers –rising oil prices due to the Arab spring and high food prices due to severe drought
 - KES currency volatility - mainly from the widening of the current account balance due to increasing import bill prompted by oil, food and the Euro crisis.
 - High interest rate regime - CBR at 18% and 91 days T-bill rates over 20%



... economic environment

- In the Eastern Africa region, there is a mixed bag of economic news:
 - High Inflation in EA – at December 2011, Kenya inflation stood at 18.9%; Uganda's at 27%, Tanzania at 19.8% while Rwanda was at 8.3%, Ethiopia 42%
 - GDP growth rates in EA for 2011 – Kenya 4.5%; Uganda 5.2%; Tanzania 7.1%; and Rwanda was 8.8%
 - Projected GDP growth rates in EA for 2012 - Kenya 5.3%; Uganda 5.6%; Tanzania 7.5%; and Rwanda was 7.5%
 - Emerging opportunities in South Sudan following independent status in 2011

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Strategic Pursuit

1. Social economic transformation of Africa
2. Brand development and social & impact investment
3. Continuing roll-out and embedding of agency banking
4. Enhancing mobile telecommunication solutions
5. Leveraging on ICT investment to optimise return



Strategic Pursuit.....

6. Evolution of business model to inclusive finance
7. Consolidation of Regional expansion
8. Enhancing risk management
9. Cost management
10. People -capacity building

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1. Social investment



Wings to fly program

- 3,486 scholarships awarded to bright needy students to date
- The program targets to educate 10,000 students by 2015

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.....social investment



Financial Literacy Training (FIKA) Program

- Target to train 1,000,000 people on financial literacy by 2014
- 306,000 people trained already

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.....social investment



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Irrigation Schemes Bura

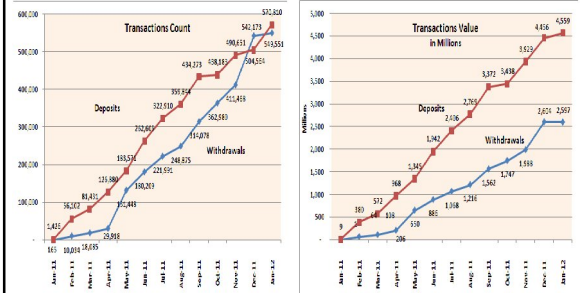


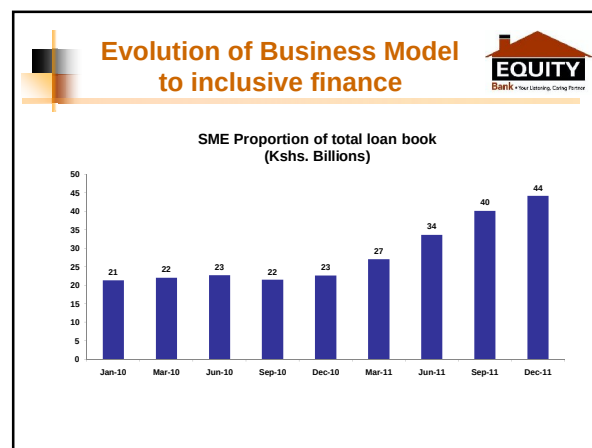
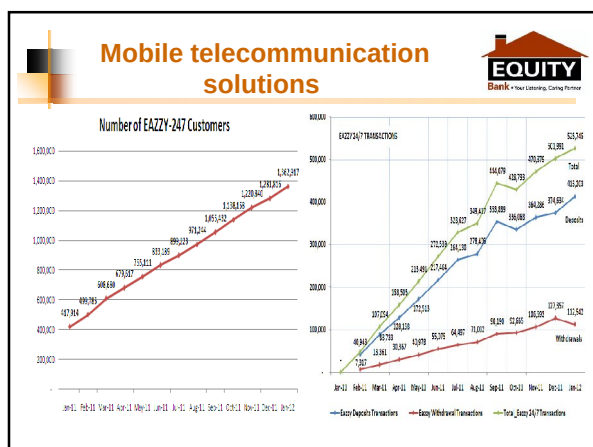
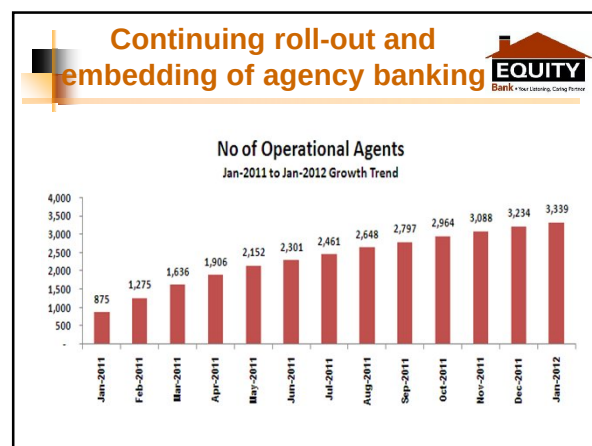
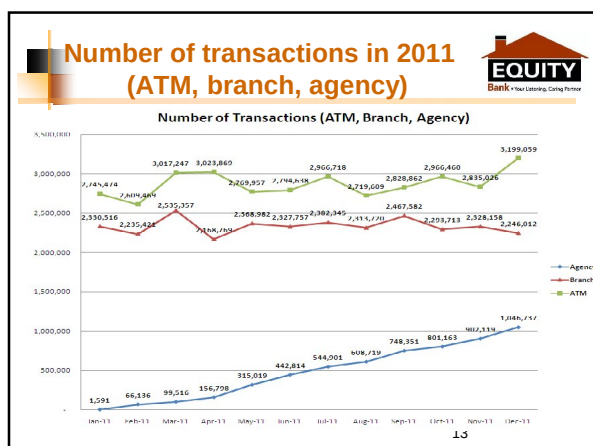
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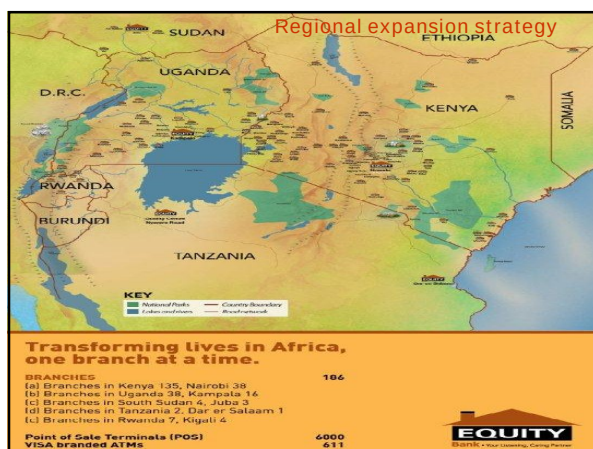
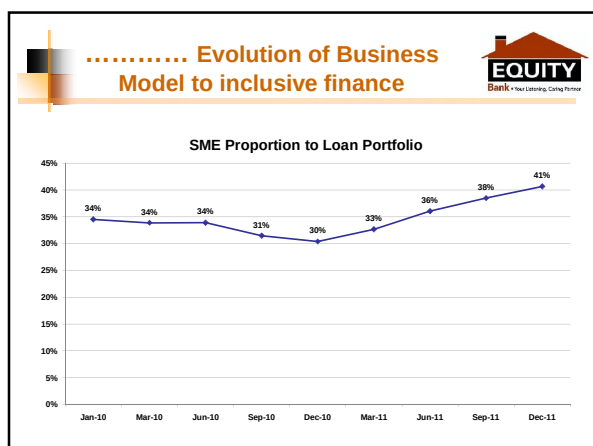
Agency roll-out



Agency banking transactions







- ### Enhanced Risk Management
- Appointment of a global expert as Chief Risk Officer.
 - Creation of risk management eco-system including
 - Audit department
 - Risk department
 - Compliance department
 - Enforcement department
 - Legal department
 - Security department
 - Systems Risk department

- ### Cost management
- Continuing improvement in asset quality management
 - Increasing efficiency through enhanced use of technology and automation
 - Increasing staff productivity
 - Leveraging on Agency banking
 - Financial/Funding restructuring

People-capacity building

Alykhan Nathoo



Alykhan Nathoo – Board member, MBA (Harvard Business School) and a Bachelor of Arts with Distinction in Quantitative Economics from Stanford University. He has over 15 years of experience in Private Equity at Bain Capital, Dubai International Capital and most recently at Helios Investment Partners. He is a Partner at Helios Investment Partners with regional focus on Eastern and Southern Africa. He also sits on the Board of Continental Outdoors.

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Dennis Aluanga



Dennis Aluanga – Board member, MBA (University of Edinburgh) and CPA (K). He is a Partner at Helios Investment Partners and a Board member of Nation Media Group. He was previously the Chief Operating Officer of Industrial Promotion Services IPS (East Africa).

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David Ansell



David R. Ansell – Board member, BA degree in Mathematics from University of North Carolina-Wilmington and a BFT degree in Finance from the Thunderbird Graduate School of International Management as well as an Advanced Management degree from the Wharton School of Business. He worked 32 years for Citibank in various capacities including Managing Director of Russia and Africa. A member of the Advisory Board of Private Equity New Markets for Bank Invest in Denmark.

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People-capacity building



Paul Njaga – (Group Chief Finance Officer) MBA Finance, University of Manchester UK, Bachelors degree in Economics, Member of the UK Chartered Institute of Securities & Investments (MSCI) and a CPA(K). Prior to joining Equity, he worked at BNP Paribas as Director of Policy in London and as a Senior Manager with PwC UK & Nairobi. Has 16 years experience

- Dr. Maurice Ewing – (Group Chief Risk Officer) PhD & Masters of Arts in Economics from Princeton University, Bachelor of Arts in Mathematics & Economics from Northwestern University (IL). Has 15 years experience in risk consultancy and is a regular contributor to the Harvard journal.
- Collins Otiwu – (Finance Director) MBA Finance, University of Warwick, Bachelor of Commerce from University of Nairobi, CPA(K) and a Certified Information Systems Auditor (CISA). Prior to joining the bank, he worked at British Telecoms (BT) in London as the Head of finance and treasury, British Petroleum (BP) in London as Senior Manager, Policy and PwC UK & Nairobi. Has 14 years experience
- Henry Kimani – (General Manager, SME and Subsidiaries Credit) CPA(K), Member of Institute of Risk Management of South Africa & South Africa Institute of Banking. Has 24 years banking experience. Prior to joining us Henry was Head of SME and subsidiary credit for Standard Chartered in South Africa.

People-capacity building



- Daniel Odongo – (Head of Corporate Credit Risk), MBA from Cornell University (Johnson Graduate School of Management) in USA and a BSc. in Aviation Technology (University of Central Missouri, USA). Prior to joining Equity, he worked for Bank of America (USA) as a Vice President and Senior Underwriter since 2007. Prior to that, Daniel worked at Commerce Bank (USA) and Visa International (USA). Has over 7 years experience in the financial services sector.
- Isaac Mwiye – (Director Corporate Banking), Masters Degree in International Business Administration and a Bachelor degree in Business Administration. Prior to joining Equity, he worked at Standard Chartered Bank as Director, Transaction Banking, East Africa. He has wide-ranging banking experience in Kenya and Internationally, and has worked with Guardian Bank, Commercial Bank of Africa and Standard Chartered Bank in various roles. Has 15 years banking experience.
- Jumaane Tafawa – (General Manager, Investment Banking) MPA in International Development, Harvard University. Prior to joining Equity, was director of Frontier 100 at the Initiative for Global Development. He has over a decade of business strategy and SME development experience gained through his work in the private, government and nonprofit sectors, in 60+ countries while working with the World Bank.

People-capacity building



- Dr. Bola Tafawa – (General Manager, Health Pillar, Equity Group Foundation), Doctor of Science degree in Social Epidemiology and Health Communications from Harvard School of Public Health. She also holds a Master of Public Health degree from the University of Michigan and a Bachelor of Science degree in Bio-behavioral Health from the Pennsylvania State University. Prior to joining Equity, she held positions at McCann Healthcare Worldwide, National Institutes of Health and Dana-Farber Cancer Institute. She has also co-authored several academic papers, abstracts, book chapters, and successful grant proposals.
- Darian C. Hendricks – (General Manager Innovation Centre), Benjamin Franklin Program Diploma (France) and a BSc in Art and Design (Massachusetts Institute of Technology, Cambridge MA). He is the co-founder and CEO of Robert R. Taylor Network, Inc, a non-profit organization, to teach underrepresented students professionalism, the business of science and technology, and cultivate their interests in Architecture and STEM fields and entrepreneurship. Previous to that he co-founded and participated in business plan development and strategy for three start-up commerce-related enterprises. Has over 20 years experience.



Qualitative Performance

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Ratings & Global Recognition

- Global Credit Rating company gave the bank a rating of AA-
- Highest Rated Brand in Kenya AAA+
- Most impactful brand on Kenyans
- East Africa banking super brand
- Best Bank in Kenya – EUROMONEY
- Best Initiative in Support of SMEs and the MDGs
- New Sustainability Champions -World Economic Forum
- Best Performing Ai 40 Company- Africa Investor
- African Banker of the Year- African Banker
- 3rd most prestigious brand in Kenya – gives Kenyans pride



Financial performance

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Business Drivers

	2010	2011	Growth
Number of customers	5.9M	7.15M	24%
Number of branches	163	186	14%
Number of ATMs	493	611	24%
Number of POS	835	6,000	619%
Number of telcos connected	1	4	300%
Number of agents	875	3,234	270%
Number of staff	5,563	6,243	12%



FUNDING

	2010 Ksh. Bn	2011 Ksh. Bn	Growth
Deposits	104.93	144.16	37%
Subordinated Debt	7.46	14.79	98%
Shareholders' Funds	27.20	34.21	26%
Total Funding	143.02	196.47	37%



ASSETS

	2010 Ksh. Bn	2011 Ksh. Bn	Growth
Net Loans	78.30	113.82	45%
Cash & Bank Deposits	18.50	35.28	91%
Government Securities	31.23	30.24	(3)%
Total Assets	143.02	196.47	37%

ASSET QUALITY			
	2010 Ksh. Bn	2011 Ksh. Bn	Growth
Gross NPL	3.59	3.25	(10) %
Gross NPL/ Gross Loans	4.49 %	2.85 %	(58) %
Net NPL/ Gross Loans	3.00	1.30 %	(57) %

ASSET QUALITY TREND						
	Sep-10	Dec-10	Mar-11	Jun-11	Sep-11	Dec-11
Gross NPL	3,578	3,599	3,967	4,070	3,503	3,250
Provisions	1,601	1,386	2,117	2,095	2,064	1,680
Net NPL	1,977	2,213	1,850	1,975	1,438	1,570
Coverage of NPL	45 %	39 %	53 %	51 %	59 %	52 %
Gross NPL/GL	4.9 %	4.5 %	4.5 %	4.1 %	3.1 %	2.8 %
Net NPL/GL	2.7 %	3.0 %	2.1 %	2.0 %	1.3 %	1.3 %

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STABILITY & COMPLIANCE			
	DEC 2011	Statutory Requirement	Excess
Core Capital/Total Deposit Liabilities	15.5 %	8 %	7.5 %
Core Capital/Total Risk Weighted Assets	15.3 %	8 %	7.3 %
Total Capital/Total Risk Weighted Assets	21.7 %	12 %	9.7 %
Liquidity Ratio	37.1 %	20 %	17.1 %

	2010 Kshs Billion	2011 Kshs Billion	Change
Interest Income on Loans	11.46	16.58	46 %
Interest on Gov't Sec & Fin inst.	2.41	2.75	16 %
Total Interest Income	13.78	19.34	40 %
Total Non Interest Income	10.44	12.45	19 %
Total Income	22.15	28.67	29 %
Net interest income/ Total income	53 %	57 %	8 %

EXPENSE STATEMENT			
	2010 Kshs Billion	2011 Kshs Billion	Change
Total Interest Expense	2.06	3.12	51 %
Staff Costs	5.24	5.99	14 %
Loan Loss Provision	1.90	1.63	(14) %
Total Operating expenses	13.20	15.99	21 %
CIR (With Provisions)	60 %	56 %	(6) %
CIR(Without Provisions)	51 %	50 %	(2) %

PROFIT & LOSS ACCOUNT			
	2010 Ksh. Bn	2011 Ksh. Bn	Growth
Profit Before Tax	9.04	12.83	42 %
Profit After Tax	7.13	10.33	45 %
Proposed Dividend	2.9	3.7	25 %
Earnings Per Share	1.93	2.79	45 %
Return on Equity	28.4 %	33.6 %	18 %
Return on Assets	5.8 %	6.1 %	4.0 %
Dividend per share	0.8	1.0	25 %

Performance trend analysis 					
	1991	1996	2001	2006	2011
Funding	29m	302m	1.6b	16.3b	159b
Loans	8.6m	169m	0.8b	10.9b	113.8b
Total Assets	24m	213m	1.9b	20.0b	196.5b
Total Income	0.8m	51.7m	230m	3.4b	28.8b
Total Expenses	4.2m	41m	175m	2.3b	16.0b
Profit Before Tax	(3.5)m	10.6m	55m	1.1b	12.8b
Profit after Tax	(3.5)m	6.6m	32m	753m	10.3b
Shareholders fund	(5.3)m	22.5m	238m	2.2b	34.2b

Pursuit of strategic path is to sustain the momentum



THANK YOU

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